

25SMCV02654 25SMCV02654

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TENTATIVE RULING

July 7, 2026

25SMCV02654 (Sergenian Law v. Cui)

RELEVANT BACKGROUND

On May 23, 2025, plaintiff Sergenian Law (Plaintiff) filed its complaint against defendant Xiang Hao Cui (Defendant), alleging a cause of action for breach of contract and seeking alleged unpaid attorney's fees and costs totaling \$111,012.75, arising from legal services it claims to have rendered to Defendant. Defendant retained Plaintiff to represent him and his entities in Xiang Hao Cui, et al. v. Dae Yong Lee, aka David Lee, et al., Los Angeles Superior Court Case No. 22STCV35791 (the Underlying Action).

On January 20, 2026, Defendant moved to set aside the default and default judgment entered against him. On March 17, 2026, the Court granted Defendant's motion finding that "Plaintiff had an ethical duty to contact defense counsel prior to seeking a default because Plaintiff knew Defendant was represented by counsel in the underlying action and who that counsel was..." (RJN Ex. 2 Minute Order).

INSTANT MOTION

On March 30, 2026, Defendant filed the instant motion to compel arbitration. Plaintiff filed an opposition, and

Defendant filed a reply.

REQUESTS FOR JUDICIAL NOTICE

Defendant's request for judicial
notice of court filings is granted.

Plaintiff's request for judicial
notice of court filings is granted.

DISCUSSION

Code of

Civil Procedure section 1281.2 authorizes the court to order arbitration of a controversy if it finds the parties have agreed to arbitrate that dispute. Section 1281.2 provides, "On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party thereto refuses to arbitrate such controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: [¶] (a) The right to compel arbitration has been waived by the petitioner; or [¶] (b) Grounds exist for the revocation of the agreement. [¶] (c) A party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact..." (Code Civ. Proc., § 1281.2.)

A party

petitioning to compel arbitration has the burden of establishing the existence of a valid agreement to arbitrate and the party opposing the petition has the burden of proving, by a preponderance of the evidence, any fact necessary to its defense. (Banner Entertainment, Inc. v. Superior Court (1998) 62 Cal.App.4th 348, 356-357.)

A.

Existence of an Arbitration Agreement

"Under both

federal and state law, the threshold question presented by a petition to compel

arbitration is whether there is an agreement to arbitrate.” (B.D. v. Blizzard Entertainment, Inc. (2022) 76 Cal.App.5th 931, 942.) “The moving party bears the burden of producing prima facie evidence of a written agreement to arbitrate the controversy.” (Gamboa v. Northeast Community Clinic (2021) 72 Cal.App.5th 158, 165-66.) “If the moving party meets its initial prima facie burden and the opposing party disputes the agreement, then in the second step, the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement....If the opposing party meets its burden of producing evidence, then in the third step, the moving party must establish with admissible evidence a valid arbitration agreement between the parties. The burden of proving the agreement by a preponderance of the evidence remains with the moving party.” (Ibid.)

“With respect to the moving party’s burden to provide evidence of the existence of an agreement to arbitrate, it is generally sufficient for that party to present a copy of the contract to the court.” (Baker v. Italian Maple Holdings, LLC (2017) 13 Cal.App.5th 1152, 1160.)

The Court

finds that an agreement to arbitrate the dispute exists. Defendant has met his initial burden as the moving party by providing a copy of the fee agreement, which includes an arbitration agreement in paragraph 20. (RJN, Ex. A, Compl., Ex. 1, ¶ 20.) The agreement provides:

ARBITRATION OF ALL DISPUTES

A. ARBITRATION OF ALL DISPUTES INCLUDING CLAIMS OF MALPRACTICE

Any dispute between Attorney and Client regarding the construction, application or performance of any services under this Agreement, and any claim arising out of or relate to this Agreement or its breach, including, without limitation...disputes regarding attorney fees and/or costs charged under this Agreement...shall be submitted to binding arbitration....

(Id. at ¶ 20

(A).)

The Court agrees with Defendant that the instant dispute concerning attorney fees falls squarely within the scope of the parties' arbitration agreement. (See *Id.*; *Compl.*, generally.)

Additionally, the Court notes that Plaintiff does not challenge the existence of an agreement to arbitrate. Rather, Plaintiff instead contends that Defendant waived his right to arbitration through his conduct in litigation. As detailed below, the Court concludes that Defendant did not waive his right to arbitration.

B.
Enforceability
of the Arbitration Agreement

Here, Plaintiff argues that the arbitration agreement is not enforceable because Defendant waived his right to arbitration through his conduct.

1.
Waiver

In order to prove a waiver of the right to arbitrate, a nonmoving party was traditionally required to demonstrate that the moving party (1) was aware of its right to compel arbitration, (2) acted inconsistently with that right, and (3) prejudiced the nonmoving party as a result. (*Hoover v. American Income Life Ins. Co.* (2012) 206 Cal.App.4th 1193, 1203 [although arbitration was not pursued for almost a full year, the party seeking to compel arbitration conducted litigation in a style inconsistent with the right to arbitrate], citing *U.S. v. Park Place Associates, Ltd.* (9th Cir. 2009) 563 F.3d 907, 921.) The Supreme Court has held, however, that "prejudice is not a condition of finding that a party, by litigating too long, waived its right to stay litigation or compel arbitration under the FAA." (*Morgan v. Sundance, Inc.* (2022) 596 U.S. 411, 419.)

"The relevant factors establishing waiver include whether the party's actions are inconsistent with the right to arbitrate; whether the litigation machinery has been substantially invoked and the parties were well into preparation of a lawsuit before the party notified the opposing party of an intent to arbitrate;

whether a party delayed for a long period before seeking a stay; whether important intervening steps [e.g., taking advantage of judicial discovery procedures not available in arbitration] had taken place; and whether the delay affected, misled, or prejudiced the opposing party.” (Hoover, supra, 206 Cal.App.4th at p. 1204; see, e.g., Bower v. Inter-Con Security Systems, Inc. (2014) 232 Cal.App.4th 1035, 1044-1049 [conduct was inconsistent with the party's right to arbitrate because it took advantage of discovery, delayed arbitration of the individual claim, and attempted to settle the claim class-wide instead of on an individual basis as compelled by the arbitration agreement]; Gloster v. Sonic Automotive, Inc. (2014) 226 Cal.App.4th 438, 449 [conduct not inconsistent with right to arbitrate because moving parties filed no motions of their own and restricted their litigation activity to responding to discovery and attending case management conferences].)

“[A] party may be said to have ‘waived’ its right to arbitrate by an untimely demand, even without intending to give up the remedy. In this context, waiver is more like a forfeiture arising from the nonperformance of a required act.” (Burton v. Cruise (2010) 190 Cal.App.4th 939, 944 [citation omitted].) Some California appellate courts hold, however, that “a delay is found unreasonable only when it is combined with the attempt by the party asserting a right to arbitrate to obtain an advantageous litigation position during the delay.” (Gloster, supra, 226 Cal.App.4th at p. 449.)

Here, Plaintiff argues that Defendant's litigation conduct demonstrates his intentional relinquishment of his right to arbitrate the dispute. But Plaintiff's only support for this contention is that Defendant was served with the Complaint and then moved to set aside the default. (See Opp. at p. 6-7.) Plaintiff fails to point to any litigation conduct that is inconsistent with the right to arbitrate, such as conducting discovery or filing substantive motions.

Plaintiff's reliance on Quach v. California Commerce Club, Inc. (2024) 16 Cal.5th 562 and Hofer v. Boladian (2025) 111 Cal.App.5th 1, 14 is misplaced. In Quash, the defendant posted jury fees and actively engaged in discovery. (Quash at pp. 586-587 [noting that engaging in discovery was “markedly inconsistent with an intent to arbitrate.”]) In Hofer, the plaintiffs unsuccessfully sought a temporary restraining order and temporary injunction, opposed the defendants' demurrer, made extensive discovery requests, demanded a jury trial, represented

they would be litigating substantive motions, and posted jury fees. (Hofer at p. 13.) No similar facts are present here.

The Court finds that Defendant has not waived his right to arbitration, because there is no evidence that Defendant's conduct was inconsistent with his right to arbitrate. No discovery has been conducted and there is no other indication that Defendant acted inconsistently with the right to arbitrate. Nor is there any evidence that Plaintiff would suffer prejudice.

C. Stay

Code of Civil Procedure section 1281.4 provides, in part:

If a court of competent jurisdiction, whether in this State or not, has ordered arbitration of a controversy which is an issue involved in an action or proceeding pending before a court of this State, the court in which such action or proceeding is pending shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies.

(Code Civ. Proc., § 1281.4.)

Based on the foregoing, the Court finds that it is appropriate to stay the action pending the outcome of the arbitration proceeding. The Court does not find a valid basis to condition the stay on Defendant's funding of the arbitration as requested by Plaintiff in reply.

Based on the foregoing, Defendant's motion to compel arbitration and stay proceedings is GRANTED.